past, as I tried to explain in a previous lecture, but I can understand why they are upset when they see their interest income diminishing.

The bottom line is that in controlling inflation, monetary policy makers effectively end up balancing the interests of both investors and savers over the business cycle. At one of my talks, an industrialist clamoured for a 4 per cent rate on his borrowing. When I asked him if he would deposit at that rate in a safe bank, leave alone invest in one of his risky friends, he said 'No!' Nevertheless, he insisted on our cutting rates significantly. Unfortunately, policy makers do not have the luxury of inconsistency.

SUPPLY CONSTRAINTS

Food inflation has contributed significantly to CPI inflation, but so has inflation in services like education and health care. Some argue, rightly, that it is hard for the RBI to directly control food demand through monetary policy. Then they proceed, incorrectly, to say we should not bother about controlling CPI inflation. The reality is that while it is hard for us to control food demand, especially of essential foods, and only the government can influence food supply through effective management, we can control demand for other, more discretionary, items in the consumption basket through tighter monetary policy. To prevent sustained food inflation from becoming generalized inflation through higher wage increases, we have to reduce inflation in other items. Indeed, overall headline inflation may have stayed below 6 per cent recently even in periods of high food inflation, precisely because other components of the CPI basket such as 'clothing and footwear' are inflating more slowly.

FISCAL DOMINANCE

Finally, one reason the RBI was historically reluctant to lock itself into an inflation-focused framework is because it feared government